MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2024/2025

THIRD YEAR FIRST SEMESTER EXAMINATIONS FOR THE DEGREE OF BACHELOR OF BUSINESS ADMINISTRATION WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

BAF 311: PRINCIPLES OF TAXATION

Date: 31st January, 2025 Time: 8. 30 - 11. 30 am

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer question ONE and any other THREE questions

(including wife's employment, self employment and professional income rates of tax).

Year of income 2023

Monthly taxable pay (shillings)	**Annual taxable pay (shillings)**	**Rates of tax % in each shilling**
1 – 24,000	1 – 288,000	10%
24,001 – 32,333	288,001 – 388,000	25%
Excess over 32,333	Excess over 388,000	30%

Personal relief Sh.2,400 per month) Sh.28,800 per annum)

Prescribed benefit of motor vehicles provided by employer

	Monthly Rates (Sh.)	Annual Rates (Sh.)
Saloons Hatch Backs and Estates		
Upto 1200cc	3,600	43,200
1201 - 1500cc	4,200	50,400
1501 - 1750cc	5,800	69,600
1751 - 2000cc	7,200	86,400
2001 - 3000cc	8,600	103,200
Over - 3000cc	14,400	172,800

Pick-ups, Panel Vans (unconverted)

Upto 1750cc	*3,600*	*43,200*
Over - 1750cc	*4,200*	*50,400*

Land Rovers/Cruisers

Commissioners prescribed benefit rates:	**Monthly Rates**	**Annual Rates**
Electricity (Communal or from a generator)	1,500	18,000
Water (Communal or from a borehole)	500	6,000

Agriculture employees: Reduced rates of benefits

Water	200	2,400
Electricity	900	10,800

QUESTION ONE

a) According to the income tax regulations relating to persons with disabilities (PWD), explain the term "home and personal care" citing examples of any two items of expenditure that might be construed as "home and personal care expenses". **(4 Marks)**

b) Brian Lawrende is employed by Uhuru Millers Limited as the Finance officer. He has provided the following details relating to his income for the year ended 31st December 2023:

1. Basic salary Sh. 180,000 per month (net of PAYE Sh.40, 000 per month).
2. The employer pays him house allowance of Sh.40,000 per month, he utilizes this amount to rent a house from Meadows apartments for Sh.25,000 per month.
3. During the year, he was sent on official duties outside his usual place of work for ten days, where he was paid subsistence and travelling allowance amounting to Sh.25,000 per day. He proved to the commissioner that Sh.5,000 per day out of the subsistence allowance he had received was reimbursement of expenses
4. He is a registered member of the National Council for Persons with Disabilities (NCPD) and has been issued with a certificate of exemption by the Commissioner of Domestic Taxes.
5. He contributed Ksh. 25,000 p.m towards a registered provident fund and a further Ksh. 15,000 per month towards unregistered pension scheme. The employer contributed an equal amount to both schemes.
6. The employer reimbursed him Ksh.350,000 for medical expenses incurred during the year. There is a medical scheme that covers all employees.
7. Uhuru Millers Limited. paid Sh.15,000 on Brian 's behalf, being subscription fee to ICPAK during the year.
8. He received dividend income of Ksh. 40,000 net from Jamii Cooperative Bank and Ksh. 50,000 gross from Mbote Cooperative Society Ltd.
9. He contributes Ksh. 10,000 per month to a registered home ownership savings plan (HOSP).
10. On August 2023, the company provide him with the following:
    a) A Land Rover which was acquired at a cost of Ksh. 1,800,000 with an engine capacity 3,000cc.
    b) A gardener and a night watchman whose monthly salaries were Ksh. 12,500 and Ksh. 15,000 respectively.
11. He was provided with airtime credit of Sh.7,000 per month for his private purpose.

Required:

i) The taxable income of Brian Lawrende for the year ended 31st December 2023. **(12 marks)**

ii) The tax liability (if any) on the income computed in (i) above. **(5 marks)**

iii) Comment on any information not used in your computations under (i) and (ii). **(4 Marks)**

QUESTION TWO

a) Describe two measures that Kenya Government could undertake to finance a budget deficit. **(2 marks)**

b) Discuss four ways on how tax policy can' be used to promote the growth of small and medium enterprises (SMEs) in Kenya. **(4 marks)**

c) The following transactions were extracted from the ledger balances of Kaudo Traders, a registered business for value added tax (VAT) purposes for the month of September 2023;

	Sh.
Purchases at standard rate	487,200
Audit fees	41,760
Exports to Malawi	400,000
Sales at standard rate	1,136,800
Purchasesof printing materials	29,000
Fuel for delivery van	78,880
Exempt supplies	280,000
Catering for firm employees	81,200
Entertainment expenses	24,360
Telephone expenses	58,000
Payment of water bill	21,000

Additional information:

1. The firm received debit notes valued at Sh.23,200 in respect to erroneous invoices issued by suppliers.
2. The firm issued credit notes of Sh.20,880 to credit customers because of price adjustments.
3. Goods imported valued at a cost of Sh.500,000 were no recorded; Freight charges was Sh.40,000 and insurance. Sh.20,000. Import duty was charged at 25%.

4. A debtor of goods valued at Sh.32,480 was declared bankrupt, and the debt written off. The firm did not keep proper records for sales and purchases, therefore it was not possible to identify the state of goods sold at exempt.
5. All transactions are inclusive of VAT at a rate of 16% where applicable.

Required:

The value added tax (VAT) payable by (or refundable to) Kaudo Traders for the month of September 2023. **(9 marks)**

QUESTION THREE

Eagle Millers Ltd is a maize flour milling company. The company started its operations on 2nd January 2020 after incurring the following expenditure:

	Ksh.
Cost of land	1,600,000
Furniture and fittings	250,000
Distribution van	3,400,000
Photocopier machine	135,000
Water pump	520,000
Factory building	4,200,000
Packing machine	960,000
Mercedes Benz Saloon (for the director)	3,800,000
Digital weighing scale	60,000
Processing machine	540,000
Tractor	2,400,000
Computers	620,000
Mobile phones	140,000
Combined harvester	1,800,000

Additional information:

1. The company constructed the following structures during the year which were utilized from 1st September 2020:

	Cost of construction (Ksh.)
Sports pavilion	624,000
Labour quarters	1,200,000
Recreation facility	480,000
Stone perimeter wall	1,400,000

2. The company disposed of two computers at Ksh. 30,000 each on 1st August 2020.
3. The cost of processing machines includes the installation cost of Ksh. 120,000.
4. A godown was constructed at a cost of Ksh. 900,000 used with effect from 1st October 2020.
5. The Directors Mercedes Benz was involved in an accident on 13th December 2020 and the insurance company compensated the company Ksh. 3,200,000 as the write-off value.
6. The company sunk a borehole at a cost of Ksh. 52,000 which was utilized from 1st November 2020.
7. *A loading bay and an extension to the factory building were constructed and utilized with effect from 1st September 2020. The loading bay Ksh. 420,000 while the factory extension cost Ksh. 960,000.*

Required:

Capital allowances due to Eagle Millers Ltd for the year ended 31st December 2020. **(15 Marks)**

QUESTION FOUR

Sylvester and Martin, who are both resident in Kenya are in partnership trading as Softah Investments. The following details relate to their business for the year ended 31st December 2023. Profits and losses are shared by Sylvester and martin in the ration of 2:3 respectively.

SOFTAH INVESTMENTS

Trading and profit and loss account for the year ended 31st December 2023.

	Sh		Sh
Opening Stock	500,000	Sales	35,000,000
Purchases	20,000,000	Interest income	250,000
Repairs	50,000	Dividends received	120,000
Maintenance	120,000	Miscellaneous income	210,000

Advertisement Costs	250,000	Interest on drawings	
Donations To St.Peters Children's	320,000	Sylvester	70,000
Home	80,000	Martin	40,000
Bad Debts-General Provision	800,000	Recoveries from insurance	95,000
Rent Expenses	160,000	Company	300,000
Legal Fees	518,000	Closing stock	1,453,000
Office expenses	360,000	Net loss for the year	
Legal fees	90,000		
Depreciation Of Fixed Assets	130,000		
Subscriptions to chamber of commerce	70,000		
Drawings	140,000		
Sylvester	180,000		
Martin Interest on capital	250,000		
Sylvester	320,000		
Martin Salaries	8,700,000		
Martin	37,538,000		37,538,000

Additional Information

Sylvester operates a farming business where he received net farming income of sh. 50,000 for the year ended 31st December 2023, after deducting the following

	sh
Salary	300,000
Drawings for family use	450,000
Donations to local church	60,000

2. Legal costs paid by the business in defending a private suit against Sylvester to sh. 140,000

3. Specific provisions for bad debts amounted to sh 170,000. These had not been taken into account in preparing the above trading and profit and loss account

4. Interest income and dividends are stated at their gross amount.

5. Capital deductions for the year ended 31 December 2023 were agreed at sh. 480,000

Required

a) Adjusted taxable income for the partnership business for the year ended 31 December 2023. **(9 marks)**

b) Distribution of the income computed in a above between the partners and the total taxable income of each partner for the year ended 31st December 2023. **(4 marks)**

c) Comment on any information not used in the computation of the adjusted taxable income **(2 marks)**

QUESTION FIVE

The directors of Langani Engineering Company Limited presented the following Profit and Loss for the year ended 31st December 2023:

	Sh.
Revenues	
Sales	30,780,000
Interest on Government Securities (Gross)	50,000
	30,830,000
Expenses:	
Purchases	24,000,000
Wages	2,320,000
Carriage inwards	370,000
Rent	300,000
Insurance	190,000
Trade expenses	100,000
Repairs:	
Building	300,000
Machinery	56,000
Advertising	254,000
Legal charges	80,000
Audit fees	70,000
Depreciation	3,017,000
	104,000

Provision for doubtful debts	600,000
Debenture interest	400,000
Interim dividend	731,300
Proposed dividend	32,892,300
Net Loss	2,062,300

The following additional information is provided:

1. Purchase returns and sales returns were Sh.500,000 and Sh.700,000 respectively. These were left out while preparing the trial balance.

2. Wages include Sh.25,000 per month paid to a "consultant" who helps the company whenever there is a problem with the VAT department. VAT of Sh.560,000 remains unpaid and the "consultant" promises to find a way of getting it written off. Full PAYE is deducted from his salary.

3. Trade expenses include an amount of Sh.60,000 travel expenses to Korea for the Director as part of the National Chamber of Commerce Trade and Industry promotion tour.

4. Repairs to machinery include small loose tools written off by Sh.10,000

5. Bad debts which are specifically bad are Sh.74,000

6. Capital allowances have been agreed at Sh.2,000,000.

Required:

(a) Taxable profits for the year of income 2023. **(10 marks)**

(b) Tax payable if any for 2023. Comment on the results. **(5 marks)**